

negatively 57 years ago. But now, in this rereading, I was able to see further.

INVESTMENT REALISM

Over the last five or six decades, the investment world has seen the development of what could be described as a much more pragmatic approach to making money: judging investment merit not on absolute notions of quality and safety—or on descriptions such as “investment grade” or “speculative”—but rather on the relationship between expected return and expected risk. Alternatively, of course, this could be described as a lowering of standards; what ever happened to concepts like fiduciary duty and preservation of capital?

Graham and Dodd seem to operate in a middle ground. They propound absolute requirements for purchases on an investment basis, but they also admit that apparent quality and safety alone shouldn’t be expected to make some things successful investments or rule out others. Here are several examples:

[Given that fixed-income securities lack the upside potential of equities,] “the essence of proper bond selection consists, therefore, in obtaining specific and convincing factors of safety in compensation for the surrender of participation in profits.” (Chap. 6) [Fixed-income investing can’t be expected to work if creditworthiness isn’t there.]

“The conception of a mortgage lien as a guaranty of protection independent of the success of the business itself is in most cases a complete fallacy. . . . The established practice of stating the original cost or appraised value of the pledged property as an inducement to purchase bonds is entirely misleading.” (Chap. 6) [To be creditworthy, securities must be backed by cash flows or assets with real current value.]

“The debentures [unsecured bonds] of a strong enterprise are undoubtedly sounder investments than the mortgage issues of a weak company.” (Chap. 6) [Labels alone mean nothing.]